

Cyber Risk Assessments
Statement of Work (SOW)
01 March 2017

1.0 Background

Recent global cyber events reinforce that cyber threats to U.S. infrastructure and military systems are real and significant. Cyberspace is traditionally defined as "a global domain within the information environment consisting of the interdependent network of information technology infrastructures, including the internet, telecommunications networks, computer systems and embedded processors and controllers" (Joint Publication 3-12 (R) Cyberspace Operations). The focus of this Statement of Work (SOW) is embedded processors and controllers, and Real Time Operating Systems (RTOS).

We live and operate in a wired world and rely on communications technologies; from computers, data centers and the cloud to mobile connectivity. Economies rely on this wired world to operate as does the military. DoD systems must be sufficiently robust, resilient and sustainable to operate in the increasingly contested and connected cyberspace domain. To know a systems effectiveness, robustness and resiliency, analyses must be performed to determine and mitigate system weaknesses. Per the FY16 NDAA section 1647 DoD is directed to perform Cyber Risk Assessments (CRAs) on all major DoD weapons systems.

1.1 Scope

The Contractor shall provide support to the Government in the areas of cooperative CRA of tactical fighter/attack and surveillance aircraft or similarly complex aircraft, smart (GPS guided) weapons or similarly complex weapons, test equipment, software, associated communications and networks in accordance with NAVAIR CYBERSAFE Standard Work Package (SWP) and NAVAIR CRA SWP. Cyber Table Top (CTT) efforts will be conducted in accordance with the NAVAIR CTT SWP.

The Contractor shall provide input for the development of a Verification and Validation (V&V) test plan and participate in the Government led testing of tactical fighter/attack and surveillance aircraft or similarly complex aircraft, smart (GPS guided) weapons or similarly complex weapons, test equipment, software, associated communications and networks.

In general, the scope of this SOW includes providing cyber resources and expertise to conduct CRAs on platform and weapon systems by interviewing system Subject Matter Experts (SMEs), analyzing design and test documentation and operational requirements, conducting cyber analyses and assessments and developing work products as outlined in the NAVAIR CYBERSAFE SWP, NAVAIR CRA SWP , and NAVAIR CTT SWP to strengthen resiliency and integrity.

2.0 Applicable Documents

The Government will provide all necessary reference documents not generally available to the contractor as required. Throughout the life of the contract, if any instruction or document is replaced or superseded, the replacement or superseding instruction or document shall be incorporated into the requirements in this SOW once approved and agreed upon by all parties.

These documents will be used as guidance for execution of this SOW and as invoked in D.O. / Task Orders (TOs) issued under this contract:

2.1 NAVAIR CYBERSAFE SWP

2.3 NAVAIR Cyber Risk Assessment process (CRA) SWP

2.4 NAVAIR Cyber Table Top (CTT) SWP

2.5 NAVAIR prioritized system list and schedule

2.6 NAVAIR Security Classification Guide # 10-033

2.7 National Industrial Security Program Operating Manual (NISPOM), DoD 5220.22-M, dated January 1995

2.8 Distribution Statements on Technical Documents, DoD D-5230.24, dated 23 August 2012

3.0 Requirements

The Contractor shall provide support to the Government in the areas of Cyber vulnerability analysis and risk assessment of NAVAIR tactical fighter/attack and surveillance aircraft or similarly complex aircraft, smart (GPS guided) weapons or similarly complex weapons, test equipment, software, associated communications and networks in accordance with NAVAIR CYBERSAFE Standard Work Package (SWP), NAVAIR CRA SWP and NAVAIR CTT SWP. The Contractor shall support the development of the V&V test plan and participate in the Government led test. All documentation developed as part of the final Government reports will be classified and marked in accordance with the NAVAIR Security Classification Guide (SCG) or in the instance where a program SCG exists, the program SCG will take precedence over the NAVAIR SCG.

The Contractor shall support the following Government led tasking related to all CRAs:

- Technical analysis
- Mission analysis
- Verification and Validation (V&V) testing

The Contractor shall support test plan development and participate in V&V testing conducted by the Government.

A draft list and schedule of NAVAIR CRAs is found in the NAVAIR Prioritized System List. CRAs are composed of CYBERSAFE Level(s) (CSL) 1-4 as defined in the NAVAIR CYBERSAFE SWP.

CRAs typically consist of data/document and intelligence gathering, technical system analysis, mission analysis and V&V

3.1 Tactical Fighter/Attack/Surveillance Platform Assessment

The Contractor shall provide cyber susceptibility/vulnerability analysis and risk assessment of NAVAIR tactical fighter/attack and surveillance aircraft.

3.1.1 Cyber Table Top (CTT) Assessment

The Contractor shall participate in a Government-led team, and shall provide written input for CTT work products including access point maps, workbooks, risk analysis, and final assessment report for NAVAIR tactical fighter/attack and surveillance aircraft. The Contractor shall submit the CTT work products to the designated Government representative in accordance with the appropriate SCG. Once work products have been submitted, the Contractor shall send a transmittal letter to the COR.

3.1.2 Cyber Risk Assessment (CRA)

The Contractor shall participate in a Government-led team, and shall provide written input for CRA work products including access point maps, workbooks, risk analysis, and final assessment report for NAVAIR tactical fighter/attack and surveillance aircraft. The Contractor shall submit the CRA work products to the designated Government representative in accordance with the appropriate SCG. Once work products have been submitted, the Contractor shall send a transmittal letter to the COR.

3.1.3 Verification and Validation (V&V) Testing

The Contractor shall provide input for the development of V&V test plan and observe the Government-led test of NAVAIR tactical fighter/attack and surveillance aircraft. The Contractor shall submit the V&V test plan inputs to the designated Government representative in accordance with the appropriate SCG. Once test plan inputs have been submitted, the Contractor shall send a transmittal letter to the COR.

3.1.4 Vulnerability Assessment Report (VAR)

The Contractor shall participate in a Government-led team, and shall provide written input for VAR work products including CRA and V&V final reports for NAVAIR tactical fighter/attack and surveillance aircraft. The Contractor shall submit the VAR work products to the designated Government representative in accordance with the appropriate SCG. Once work products have been submitted, the Contractor shall send a transmittal letter to the COR.

3.2 Smart (GPS guided) Weapons Assessment

The Contractor shall provide cyber susceptibility/vulnerability analysis and risk assessment of NAVAIR smart (GPS guided) weapons.

3.2.1 Cyber Table Top (CTT) Assessment

The Contractor shall participate in a Government-led team, and shall provide written input for CTT work products including access point maps, workbooks, risk analysis, and final assessment report for NAVAIR smart (GPS guided) weapons. The Contractor shall submit the CTT work products to the designated Government representative in accordance with the appropriate SCG. Once work products have been submitted, the Contractor shall send a transmittal letter to the COR.

3.2.2 Cyber Risk Assessment (CRA)

The Contractor shall participate in a Government-led team, and shall provide written input for CRA work products including access point maps, workbooks, risk analysis, and final assessment report for NAVAIR smart (GPS guided) weapons. The Contractor shall submit the CRA work products to the designated Government representative in accordance with the appropriate SCG.

Once work products have been submitted, the Contractor shall send a transmittal letter to the COR.

3.2.3 Verification and Validation (V&V) Testing

The Contractor shall support the development of V&V test plan and participate in the Government led test of NAVAIR smart (GPS guided) weapons. The Contractor shall submit the V&V work products to the designated Government representative in accordance with the appropriate SCG. Once work products have been submitted, the Contractor shall send a transmittal letter to the COR.

3.2.4 Vulnerability Assessment Report (VAR)

The Contractor shall participate in a Government-led team, and shall provide written input for VAR work products including CRA and V&V final reports for NAVAIR smart (GPS guided) weapons. The Contractor shall submit the VAR work products to the designated Government representative in accordance with the appropriate SCG. Once work products have been submitted, the Contractor shall send a transmittal letter to the COR.

3.3 Progress Reports

The Contractor shall provide a monthly Contractor's Progress, Status, and Management Report that shows planned expenditures over the life of the contract and each TO, comparing planned to actual expenditures. All data in the Contractor's Progress, Status, and Management Report shall be unclassified. Technical tasking progress shall be summarized to include accomplishments; compliance to schedule; issues, problems, and solutions; and risks to completion of the TO effort. The Contractor shall provide a summary of prime and subcontractor labor hours expended by each TO during the reporting period and the cumulative hours expended for each TO during the period of performance. The Travel Section of the report shall contain the following for each travel trip taken during the reporting period: (1) Name(s) of travelers, (2) Travel dates, (3) Destination, (4) Purpose of trip, and (5) Accomplishments during trip. (Contract Data Requirements List (CDRL) A001)

3.5 Technical Administrative Support

The Contractor shall perform administrative support for the technical tasking in Paragraphs 3.1 - 3.4 to meet NAWCWD mission requirements. The Contractor shall use Government-furnished data to provide various technical administrative services including, but not limited to, Contractor personnel and visitor badging; coordinate and schedule team meetings and CRA interviews; coordinate and schedule telecons and VTCs; complete, submit and track NMCI and Communication Service Requests for team members; update and post project plans, update and post financial reports, and progress reports to Government-owned share drive; coordinate lab/facility access; and track and update team action items.

4.0 Deliverables

4.1 Status Reports

The Contractor shall submit the Contractor's Monthly Progress, Status, and Management Report (CDRL A001) via email to the NAWCWD Contracting Officer's Representative (COR), Technical Point of Contact (TPOC), and Contract Specialist identified in the contract.

The Contractor shall provide the first status report on the tenth day after the first complete month following award of the contract. The Contractor shall submit subsequent status reports by the tenth calendar day of each subsequent month for the duration of the contract.

5.0 Special Provisions

This section describes the security, travel, and materials for this effort. The following subsections provide details of various considerations on this effort.

5.1 Security

The Contractor shall provide personnel with the appropriate security clearance levels for the work to be performed. Access to Top Secret (TS) Sensitive Compartmented Information (SCI) information will be required in the performance of this task and shall be in accordance with National Industrial Security Program Operating Manual (NISPOM), DoD 5220.22-M, dated January 1995. The Contractor shall provide for the security of the information, hardware, and software in accordance with the NISPOM. Technical documentation shall be marked with the appropriate classification levels and shall include a distribution statement as defined in Distribution Statements on Technical Documents, DoD D-5230.24, dated 23 August 2012. The Contractor shall employ Operational Security (OPSEC) measures to control unclassified information that could be considered mission/program sensitive in accordance with the Contract DD Form 254.

5.1.1 Clearance

Certain tasks will require Contractors have a TOP SECRET/SCI. Access to non-SCI intelligence information is required to access intelligence information to perform analyses. Access and use of Secure Telephone Equipment is required for follow-up questions to site personnel and for collaboration with Government subject matter experts. Access to Joint Worldwide Intelligence Communication System (JWICS) and Secret Internet Protocol Router Network (SIPRNET) is necessary to complete analyses and deliverables. Access to classified spaces and generation of classified material shall be in accordance with DD Form 254. The Contractor shall obtain facility and personnel security clearances as required by the Department of Industrial Security Program prior to starting to work on tasks requiring clearances.

5.1.2 Physical Security

The Contractor will be provided access to designated classified areas for execution of tasking and be responsible for safeguarding all Government information or property provided for Contractor use. Government information, facilities, equipment and materials shall be secured as specified by the NISPOM and the NAWCWD Command Security Manual.

5.2 Government Furnished Materials

When the performance of contract tasking is required at a Government facility, the Government will make materials, office space, communications capability and information available for use by the Contractor. The Government will provide NMCI assets as required.

5.3 Travel

The Contractor shall be required to travel in performance of this contract. The purpose of the trips is to perform analysis and assessments. Contractors shall plan for non-local trips primarily to China Lake, California and occasionally Pt. Mugu, California. Travel requirements will be identified in individual task orders.

5.4 Materials

Some incidental materials may be required for performance of this contract. The Contractor must obtain prior written approval from the COR for any purchases valued over \$500. To receive approval for the purchases, the Contractor shall submit a consent package providing a description, price, evidence of adequate price competition, or if unavailable, a justification for use of a single source and a determination that the price is fair and reasonable. These requirements apply to all Contractor purchases.

NAVAIR Sole Source Pre-negotiation Business Clearance Memorandum

Section I Pre-negotiation

Program Name: Cyber Risk Assessments (CRAs)

Description of Procurement: This CRA procurement is a Cost-Plus-Fixed-Fee (CPFF) Indefinite Delivery, Indefinite Quantity (IDIQ) contract. The purpose of this contract is to provide support to the Government in the areas of cooperative CRAs of tactical fighter/attack and surveillance aircraft or similarly complex aircraft, smart (GPS guided) weapons or similarly complex weapons, test equipment, software, associated communications and networks.

Contractor Name: RTL, Inc.

Contractor City/State: Denver, CO

Summary of Cost/Price:

Summary of Price	RTL Proposed	Pre Negotiation Objective
Total Cost (w/o Materials & Travel ODCs)	(b) (4)	
Materials (Non-fee bearing)		
Travel (Non-fee bearing)		
Fee %		
Fee		
Total Price		

The differences between the figures in the proposal and the figures in the table above are due to rounding.

Recommendation: Based on the information set forth herein, authorization is requested to enter negotiations for the procurement described above. The resultant contract will have Contract Line Item Numbers (CLINs) with CPFF and cost reimbursable contract types. The pre-negotiation objective is hereby determined fair and reasonable.

Prepared by:

(b) (6)

Approved By:

(b) (6)

(b) (6) , 254220D Date
Contract Specialist

(b) (6)

(b) (6) 254110D Date
Contract Specialist

6/15/2017
(b) (6) , 254110D Date
Procuring Contracting Officer

Section II Pre-Solicitation Compliances

Check if N/A	DOCUMENT/APPROVAL CHECKLIST	Document Number, Approving Official & Date
	Acquisition Strategy (FAR 34.004) or Management Oversight Process for Acquisition of Services (NMCARS 5237.503)	Acquisition Strategy #: 17-008, (b) (6) , CCO, 8 March 2017
N/A	Acquisition Plan (DFARS 207.103)	
N/A	Waiver of Synopsis (FAR 5.202)	
N/A	Determinations and Findings (D&F) to exclude a source (FAR 6.202)	
N/A	Determination and Findings (D&F) for the Public Interest circumstances permitting Other Than Full and Open Competition (FAR 6.302-7)	
	Justification for Other Than Full and Open Competition (FAR 6.303)	J&A#:17-0102, (b) (6) (b) (6) Procuring Activity Competition Activity, dated 7 March 2017
N/A	Bundling contract requirements (FAR 7.107(c))	
N/A	Determination to consolidate contract requirements (DFARS 207.170-3)	
N/A	Determination of Commercial Item for FAR Part 12 Over \$1M (DFARS 212.102(a)(i))	
N/A	Determination to Use Commercial T&M or LH contract (FAR 12.207)	
N/A	Source Selection Plan (DFARS 215.303)	
N/A	Contract type determination (FAR 16.102(d)) (See FAR 16.601(d)(1) for Time & Materials or Labor Hours)	
N/A	Award Fee Plan (FAR 16.401(e)(3), PGI 216.405-2, PGI 216.470)	
N/A	HCA Determination to Use CPAF (DPAP memo April 24, 2007, FAR 16.401(d), NAVAIRINST 4200.54)	
N/A	Use of contract terms in excess of five years (FAR 17.204(e))	
N/A	Use of non-DoD contract vehicle (NMCARS 5217.7802)	
	DD Form 2579 Small Business Coordination Record (DFARS 219.201)	(b) (6) , SBPO, dated 6 February 2017
N/A	Approval for expedited completion date for MILCON (DFARS 236.270)	
N/A	Authority to Contract out for Personal Services (NMCARS 237.104(b)(i))	
	Determination of Personal/Non-personal Services (FAR 37.103)	(b) (6) , TPOC, dated 3 April 2017
	Non-performance based acquisition (DFARS 237.170-2)	Addressed in MOPAS, (b) (6) , CCO, 8 March 2017
	Government-Furnished Property Compliance Checklist (NMCARS 5245.103-73)	Completed on 15 June 2017

N/A	Approval to use warranty (DFARS 246.704)	
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Section III Pre-negotiation References

- A. Naval Air Warfare Center Weapons Division (NAWCWD) Request for Proposal (RFP), dated 31 March 2017
- B. Contractor Proposal, dated 16 April 2017
- C. Technical Evaluation, dated 25 April 2017
- D. Contractor Cost Proposal Update, dated 6 June 2017
- E. Email from (b) (6), Technical Point of Contact (TPOC), stating proposed conference travel expenses are not acceptable, dated 8 June 2017
- F. Email from (b) (6), RTL, providing subcontractor information, dated 14 June 2017

Section IV Pre-negotiation Attachments

- 1. Spreadsheets
- 2. Record of Weighted Guidelines Application, DD Form 1547 – RTL
- 3. Record of Weighted Guidelines Application, DD Form 1547 – WiSC

Section V Pre-negotiation Summary

A. Description of Current Procurement

The purpose of this contract is to provide support to the Government in the areas of cooperative CRAs of tactical fighter/attack and surveillance aircraft or similarly complex aircraft, smart (GPS guided) weapons or similarly complex weapons, test equipment, software, associated communications and networks.

B. Pre-negotiation Activities

NAWCWD issued an RFP to RTL on 31 March 2017 (Reference A). RTL provided the Government with its proposal on 16 April 2017 (Reference B). The technical evaluation was submitted to the Contract Specialist (CS) on 25 April 2017 (Reference C). On 23 May 2017, a fact finding and clarification telecon was held with (b) (6), RTL, and (b) (6), RTL, to discuss the office lease, submission of updated information, and subcontractor cost substantiation. RTL has submitted several proposal updates based on the Government's fact finding and clarification request – the latest proposal update was submitted on 6 June 2017 (Reference D).

C. Procurement History

While the exact specifics of previous procurements are unknown, similar procurements have been made in the past. This is not a follow-on action to an existing contract.

D. Contract Type

(b)(5)

(b)(5)

(b)(5)

E. Terms and Conditions

1. Cost impact of Special Contract Clauses: Not applicable.
2. Contractor exceptions to Terms and Conditions: Not applicable.
3. Ground Rules & Assumptions: Not applicable.
4. Compliance with the 10 USC 2533b and DFARS 225.70: Not applicable. No specialty metals or materials covered under the Berry Amendment have been identified as part of the contract requirements.

Section VI Pre-negotiation Cost Analysis (RTL)**Cost Table**

Cost Element	RTL Proposed				Government Analysis - RTL			
	CY 2017	CY 2018	CY 2019	Total	CY 2017	CY 2018	CY 2019	Total
Labor		(b) (4)				(b)(5)		
Materials								
Travel								
Fringe								
OH								
G&A								
Subtotal Cost								
Subcontractor								
OH on								
Subcontractor								
Total Cost								
Total w/out								
Materials or								
Travel								
Fee % (No fee								
on Materials								
and Travel)								
Fee								
CPFF Total								

A. Material

RTL proposed (b) (4) in material costs. RTL's proposal (b) (4)

It is estimated that (b)(5) material costs for this effort will be provided by the Government.

The TPOC reviewed the proposed materials and determined the proposed materials appropriate and required for the anticipated tasking; the TPOC agrees with RTL's proposed materials.

The CS analyzed what amounts (b)(5) of RTL's proposed material costs. The CS compared RTL's material costs with the prices for similar items found in industry. The CS found the proposed material costs to be comparable to the prices found in industry. As such, the Government accepts RTL's material costs.

Based on the above analysis, the Government accepts RTL's proposed material costs.

Materials Table

(b) (4) PROPOSED & GOVERNMENT ACCEPTED POSITION	
Materials	Cost
(b) (4)	

RTL proposed a total of (b) (4) labor hours over a 28 month schedule (b) (4)

Per Reference C, the TPOC concurred with RTL's 28 month schedule. However, the anticipated contract will still be structured as a base year and 2 one-year options. RTL's subcontractor, (b) (4), proposed an additional (b) (4) labor hours. The TPOC evaluated RTL's proposed labor categories and labor hours and determined them to be necessary and appropriate for the scope of this effort (Reference C - Technical Evaluation).

An analysis of (b) (4) proposed labor hours is discussed in the Subcontractor – (b) (4) section of this pre-negotiation Business Clearance Memorandum (Pre-BCM).

Based on the above analysis, the Government's accepts RTL's proposed (b) (4) labor hours.

Labor Categories and Labor Hours

Labor Category	Base	Option Yr 1	Option Yr 2	Total
Program Manager				(b) (4)
Administrative Assistant				
Cyber Engineer HW/SW/Net (Junior)				
Cyber Engineer HW/SW/Net (Senior)				
Software Dev (Journeyman)				
Information Security Analyst				
Total Hrs				

*Subcontractor (b) (4) proposed (b) (4) labor hours for base year - - Since (b) (4) is considered a (b) (4) labor hours will be included in the total LOE hours for the contract.

C. Labor Rates and Cost

RTL proposed (b) (4) in direct labor costs, based on the proposed labor mix identified in the table below. The CS utilized Salary.com to evaluate the reasonableness of the proposed rates. The CS cross-referenced the accepted labor categories and the proposed labor rates with rates for each respective labor category on Salary.com. The CS found the proposed rates (b) (5) of all reported salaries for each respective labor category. The CS used (b) (5) (b) (5) as a point of comparison, rather than (b) (5) because the CS determined that the (b) (5) more closely approximates the level of experience required for this effort. Use of the (b) (5) also accounts for the level of expertise required to perform CRAs of tactical fighter/attack and surveillance aircraft or similarly complex aircraft, smart (GPS guided) weapons or similarly complex weapons, test equipment, software, associated communications and networks. Lastly, use of the (b) (5) accounts for the high level of security clearance required to perform this effort. Based on the foregoing analysis, the Government accepts RTL's proposed rates.

(b) (4) Proposed and Accepted Labor Rates

(b) (4) Proposed & Government Accepted					Calendar Year Breakdown	
Base Year	Labor Category	Hours	Rate	Total	2017	2018
1	Program Manager				(b) (4)	
2	Administrative Assistance					
3	HW/SW/Net (Senior)					
4	Software Developer (Journeyman)					
5	Information Security Analyst					
Total						
Option Year 1	Labor Category	Hours	Rate	Total	2018	2019
1	Program Manager				(b) (4)	
2	Administrative Assistance					
3	Cyber Engineer HW/SW/Net (Senior)					
4	Software Developer (Journeyman)					
5	Information Security Analyst					
6	Cyber Engineer HW/SW/Net (Junior)					
Total						
Option Year 2	Labor Category	Hours	Rate	Total	2019	
1	Program Manager				(b) (4)	
2	Administrative Assistance					
3	Cyber Engineer HW/SW/Net (Senior)					
4	Software Developer (Journeyman)					
5	Information Security Analyst					
6	Cyber Engineer HW/SW/Net (Junior)					
Total						

RTL Proposed & Government Accepted			Calendar Year	
Base Year	Hours	Total	2017	2018
Total			(b) (4)	
Option Year 1	Hours	Total	2018	2019
Total			(b) (4)	
Option Year 2	Hours	Total	2019	
Total			(b) (4)	
Contract Total				

D. Fringe

RTL proposed a fringe cost of (b) (4). RTL proposed fringe costs based on a percentage of direct labor costs, as shown in the table below. RTL's proposal utilizes a (b) (4) fringe rate. (b) (4) RTL submitted fringe projections for CY17, CY18, and CY19, based on actuals from CY16, and the first 2 months of CY17. The CS reviewed and analyzed the submitted pools and bases. The CS determined that using a methodology based on the projections is more appropriate than the (b) (4) (b) (4). The Government utilizes these projected fringe rates. Based on the projected fringe rates, the Government's pre-negotiation position is (b) (4); this was calculated using a labor mix of (b) (4) hours (exclusive of (b) (4) hours).

RTL Proposed Fringe**Government Fringe Position**

RTL Proposed						Government Analysis - RTL				
Base Year	CY17 Rates	CY17 (7months)	CY18 Rates	CY18 (5months)	Total	CY17 Rates	CY17 (7months)	CY18 Rates	CY18 (5months)	Total
	(b) (4)							(b)(5)		
Option Year 1	CY18 Rates	CY18 (7months)	CY19 Rates	CY19 (5months)	Total	CY18 Rates	CY18 (7months)	CY19 Rates	CY19 (5months)	Total
	(b) (4)							(b)(5)		
Option Year 2	CY19 Rates	CY19 (5months)			Total	CY19 Rates	CY19 (5months)			Total
	(b) (4)							(b)(5)		

E. Overhead Rates

RTL proposed an overhead cost of (b) (4). RTL proposed overhead costs based on a percentage of direct labor costs, as shown in the table below. RTL's proposal utilizes a (b) (4) overhead rate. (b) (4) RTL submitted overhead projections for CY17, CY18, and CY19, based on actuals CY 16, and the first 2 months of CY 17. The CS reviewed and analyzed the submitted pools and bases. The CS determined that using a methodology based on the projections is more appropriate than the (b) (4). The Government utilizes these projected overhead rates. Based on the projected overhead rates, the Government's pre-negotiation position is (b)(5); this was calculated using a labor mix of (b)(5) hours (b)(5).

RTL proposed overhead on (b) (4) totaling (b) (4). RTL applied its (b) (4) to (b) (4) direct labor costs, as shown in the table below. The CS utilized the projected overhead rate of (b)(5) direct labor costs in CY17, and the projected overhead rate of (b)(5) direct labor costs in CY18. (b)(5) CY19. Based on the foregoing analysis, the Government's position is (b)(5)

RTL's total proposed overhead cost is (b) (4). Based on the foregoing analysis, the Government's total overhead position is (b)(5)

(b) (4) proposed overhead is discussed in the (b) (4) section of this Pre-BCM.

RTL Proposed Overhead						Government Overhead Position				
RTL Proposed						Government Position				
Base Year	CY17 Rates	CY17 (7months)	CY18 Rates	CY18 (5months)	Total	CY17 Rates	CY17 (7months)	CY18 Rates	CY18 (5months)	Total
Labor			(b) (4)					(b)(5)		
OH										
OH on Sub										
Total OH										
Option Year 1	CY18 Rates	CY18 (7months)	CY19 Rates	CY19 (5months)	Total	CY18 Rates	CY18 (7months)	CY19 Rates	CY19 (5months)	Total
		(b) (4)						(b)(5)		
Option Year 2	CY19 Rates	CY19 (5months)			Total	CY19 Rates	CY19 (5months)			Total
Labor			(b) (4)					(b)(5)		
OH										
Total OH										

F. General and Administrative (G&A)

RTL proposed G&A costs totaling (b) (4). RTL proposed G&A costs based on a percentage of direct labor costs. RTL's proposal utilizes (b) (4) G&A rate (b) (4) (b) (4)

RTL submitted G&A projections for CY17, CY18, and CY19, based on actuals from CY 16, and the first 2 months of CY 17. The CS reviewed and analyzed the submitted pools and bases. The G&A bases for each year (b) (4) compared to the projected G&A pools. As a result, the G&A rate for each year is (b) (4). The CS determined that using a methodology based on the projections is more appropriate than the (b) (4) across all three contract years. The Government's pre-negotiation is (b) (4). This position is based on the application of the projected G&A rates to RTL's direct labor costs.

(b) (4) proposed G&A is discussed (b) (4) section of this Pre-

RTL Proposed G&A

Government G&A Position

RTL Proposed						Government Position				
Base Year	CY17 Rates	CY17 (7months)	CY18 Rates	CY18 (5months)	Total	CY17 Rates	CY17 (7months)	CY18 Rates	CY18 (5months)	Total
		(b) (4)						(b)(5)		
Option Year 1	CY18 Rates	CY18 (7months)	CY19 Rates	CY19 (5months)	Total	CY18 Rates	CY18 (7months)	CY19 Rates	CY19 (5months)	Total
		(b) (4)						(b)(5)		
Option Year 2	CY19 Rates	CY19 (5months)			Total	CY19 Rates	CY19 (5months)			Total
		(b) (4)						(b)(5)		

G. Other Direct Costs: Travel

RTL proposed travel resulting in a total amount of (b) (4) . The CS performed travel analysis in accordance with Joint Travel Regulations, as shown in the table below.

Airfare and rental car estimates are based on Expedia prices; airfare estimates are based on prices for refundable roundtrip airfare tickets. The hotel and daily per diem estimate is based on the General Services Administration (GSA) rates for the locations listed in the table below. The CS' calculations (b)(5)

.” Based on these calculations, the

Government's travel position is (b)(5)

RTL Proposed Travel

Government Travel Position

RTL Proposed	Government Analysis of Travel
(b) (4)	(b)(5)

Project Manager	Denver, CO to China Lake, CA	Project Manager	Denver, CO to China Lake, CA
	(b) (4)		(b)(5)

Unit Cost	# of Units	Subtotal	Total/Trip	Unit Cost	# of Units	Subtotal	Total/Trip
	(b) (4)				(b)(5)		

(Cont.)

Technical Team Orange County, CA to China Lake, CA				Technical Team Orange County, CA to China Lake, CA			
(b) (4)				(b)(5)			
Unit Cost	# of Units	Subtotal	Total/Trip	Unit Cost	# of Units	Subtotal	Total/Trip
(b) (4)				(b)(5)			

Technical Team Orange County, CA to China Lake, CA				Technical Team Orange County, CA to China Lake, CA			
(b) (4)				(b)(5)			
Unit Cost	# of Units	Subtotal	Total/Trip	Unit Cost	# of Units	Subtotal	Total/Trip
(b) (4)				(b)(5)			

Section VII

(b) (4)

Pre-negotiation Cost Analysis

Cost Table

(b) (4)		Proposed		Government Position		
Cost Element	CY 2017	CY 2018	Total	CY 2017	CY 2018	Total
(b) (4)				(b)(5)		

A. Labor Hours

Per Reference F, RTL intends to

(b) (4)

and reasonable.

(b) (4) category totaling (b) (4) labor hours for (b) (4)
 RTL anticipates fulfilling the tasking performed by this labor category (b) (4)

The TPOC evaluated (b)(5) and determined the mix to be necessary and appropriate for the scope of this effort (Reference C - Technical Evaluation).

Based on the above analysis, the Government's accepts (b) (4) proposed (b) (4) labor hours.

Labor Hours

WiSC Proposed & Government Accepted		
Base Year	Labor Category	Hours

(b) (4)

B. Labor Rates and Cost

(b) (4) proposed (b) (4) in direct labor costs, based on the proposed labor mix identified in the table below. The CS utilized Salary.com to evaluate the reasonableness of the proposed rate. The CS found the proposed rate (b)(5) of all reported salaries for each respective labor category. The CS used (b)(5) (b)(5) as a point of comparison, rather than using the (b)(5), because the CS determined that the (b)(5) more closely approximates the level of experience required for this effort. Use of the (b)(5) also accounts for the level of expertise required to perform CRAs of tactical fighter/attack and surveillance aircraft or similarly complex aircraft, smart (GPS guided) weapons or similarly complex weapons, test equipment, software, associated communications and networks. Lastly, use of the (b)(5) accounts for the high level of security clearance required to perform this effort. Based on the foregoing analysis, the Government accepts WiSC's proposed rates.

Labor Categories and Labor Hours

(b) (4) Proposed & Government Accepted					Calendar Year	
Base Year	Labor Category	Hours	Rate	Total	2017	2018

(b) (4)

C. Fringe

(b) (4) proposed a fringe cost of (b) (4) proposed fringe rate is (b) (4) proposed fringe costs based on a percentage of direct labor costs, as shown in the table below. (b) (4) submitted actuals from CY15, CY16, and the first 4 months of CY17. The CS reviewed and analyzed the submitted pools and bases. After review of (b) (4) submitted supporting data, the CS accepts (b) (4) composite rate of (b) (4) than the projected (b) (4) rate for CY17. As such, the Government's accepts (b) (4) proposed fringe costs.

Fringe Rate

(b) (4) Proposed						Government Position				
Base Year	CY17	CY17 (7months)	CY18	CY18 (5months)	Total	CY17 Rates	CY17 (7months)	CY18 Rates	CY18 (5months)	Total

(b) (4)

(b)(5)

D. Overhead Rates

(b) (4) proposed an overhead cost of (b) (4) proposed overhead rate is (b) (4) proposed overhead costs based on a percentage of direct labor costs, as shown in the table below. (b) (4) submitted actuals from CY15, CY16, and the first 4 months of CY17. The CS reviewed and analyzed the submitted pools and bases. After review of (b) (4) submitted supporting data, the CS utilized (b) (4) (b) (4) % projection rate for CY17. As such, the Government's (b)(5) is (b)(5)

Overhead Rate

(b) (4) Proposed						Government Position				
Base Year	CY17 Rates	CY17 (7months)	CY18 Rates	CY18 (5months)	Total	CY17 Rates	CY17 (7months)	CY18 Rates	CY18 (5months)	Total

(b) (4)

(b)(5)

E. G&A

(b) (4) proposed G&A costs totaling (b) (4) . (b) (4) proposed G&A costs based on a percentage of direct labor, fringe, and overhead costs. (b) (4) proposal utilizes a (b) (4) G&A rate.

(b) (4) submitted G&A projections for CY17, CY18, and CY19, based on actuals from CY 16, and the first 4 months of CY 17. The CS reviewed and analyzed the submitted pools and bases. The CS determined the projected rate to be appropriate. The Government utilized the projected G&A rates. The Government's pre-negotiation is (b) (4) . This position is based on the application of the projected G&A rate to (b) (4) direct labor, fringe, and overhead costs.

General and Administrative Rate

(b) (4) Proposed						Government Position				
Base Year	CY17 Rates	CY17 (7months)	CY18 Rates	CY18 (5months)	Total	CY17 Rates	CY17 (7months)	CY18 Rates	CY18 (5months)	Total

(b) (4)

(b)(5)

Section VIII

Pre-negotiation Fee Analysis (WiSC)

Fee

	(b) (4)	Proposed Fee	Government Position
	(b) (4)		(b)(5)

A. Fee

(b) (4) proposed a fee rate of (b) (4) against total cost in the amount of (b) (4) , resulting in a proposed total fee of (b) (4) .

Consistent with DFARS 215.404-4 (b) (1), the Government used DD Form 1547 Weighted Guidelines structured approach for analysis of RTL's proposed fee. The pre-negotiation objective costs that were entered in the DD Form 1547 Record of Weighted Guidelines support a fee rate (b) (4) resulting in a total fee of (b) (4) .

1) Performance Risk -Technical:

A weight (b)(5) was chosen due to the high level of technical work involved. This acquisition is for contractor support to the Government in the areas of Cyber vulnerability analysis and risk assessment of NAVAIR tactical fighter/attack and surveillance aircraft or similarly complex aircraft, smart (GPS guided) weapons or similarly complex weapons, test equipment, software, associated communications and networks. A value of (b)(5) as assigned for technical risk factor, (b)(5) , because per DFARS 215.404-71-2(d)(2)(i)(C), this effort is extremely important to the Government and must be performed to exacting standards.

2) Performance Risk – Management/Cost Control:

A weight (b)(5) was chosen due to the amount of administrative oversight required to manage this CPFF contract. A value of (b)(5) was assigned for management/cost control risk factor, (b)(5) because per DFARS 215.404-71-2(e)(2)(i)(B), the effort requires a high degree of integration and coordination.

3) Contract Type Risk

(b)(5) was assigned in the designated range of 0 to 1 in accordance with DFARS 215.404-71-3(c).

4) Contractor Facilities Capital Cost of Money

Weighted Guidelines (WGL) assigns (b)(5) to equipment, per DFARS 215.404-71-4 (g). The equipment fee objective amount is (b)(5) The Weighted Guidelines method supports a fee rate (b) (4) The Government's pre-negotiation position results in a total fee of (b) (4) .

Fee	
(b) (4)	Proposed Fee Government Position
(b) (4)	(b)(5)
	.
	.
	.

A. Fee

RTL proposed a fee rate (b) (4) applied against total cost, excluding Travel and Materials, in the amount of (b) (4) , resulting in a proposed total fee of (b) (4) . Consistent with DFARS 215.404-4 (b) (1), the Government used DD Form 1547 Weighted Guidelines structured approach for analysis of RTL's proposed fee. The pre-negotiation objective costs that were entered in the DD Form 1547 Record of Weighted Guidelines support a fee rate (b) (4) , resulting in a total fee of (b) (4) .

1) Performance Risk -Technical:

A weight (b)(5) was chosen due to the high level of technical work involved. This acquisition is for contractor support to the Government in the areas of Cyber vulnerability analysis and risk assessment of NAVAIR tactical fighter/attack and surveillance aircraft or similarly complex aircraft, smart (GPS guided) weapons or similarly complex weapons, test equipment, software, associated communications and networks. A value of (b)(5) was assigned for technical risk factor, (b)(5), because per DFARS 4-71-2(d)(2)(i)(C), this effort is extremely important to the Government and must be performed to exacting standards.

2) Performance Risk – Management/Cost Control:

A weight of (b)(5) was chosen due to the amount of administrative oversight required to manage this CPFF contract. A value (b)(5) was assigned for management/cost control risk factor, (b)(5) because per DFARS 215.404-71-2(e)(2)(i)(B), the effort requires a high degree of integration and coordination.

3) Contract Type Risk

(b)(5) was assigned in the designated range of 0 to 1 in accordance with DFARS 215.404-71-3(c).

4) Contractor Facilities Capital Cost of Money

Weighted Guidelines (WGL) assigns a (b)(5) to equipment, per DFARS 215.404-71-4 (g). The equipment fee objective amount is (b)(5) the contractor did not propose any FCCOM.

The Weighted Guidelines method supports a fee rate (b)(5) The Government's pre-negotiation position results in a (b)(5).

Section X Pre-negotiation Price Analysis

Price analysis will be performed in the post-negotiation BCM, after the final price has been negotiated.

NAVAIR Sole Source Post-negotiation Business Clearance Memorandum

Section XI Post-negotiation Cover Page

Program Name: Cyber Risk Assessments (CRAs)

Description of Procurement: This CRA procurement is a Cost-Plus-Fixed-Fee (CPFF) Indefinite Delivery, Indefinite Quantity (IDIQ) contract. The purpose of this contract is to provide support to the Government in the areas of cooperative CRAs of tactical fighter/attack and surveillance aircraft or similarly complex aircraft, smart (GPS guided) weapons or similarly complex weapons, test equipment, software, associated communications and networks.

Contractor Name: RTL Networks

Contractor City/State: Denver, CO

Summary Cost/Price:

Summary of Price	RTL Proposed	Pre Negotiation Objective	Post Negotiation
Total Cost (w/o Materials & Travel ODCs)	\$ (b) (4)	\$ (b) (4)	\$ (b) (4)
Materials (Non-fee bearing)	\$ (b) (4)	\$ (b) (4)	\$ (b) (4)
Travel (Non-fee bearing)	\$ (b) (4)	\$ (b) (4)	\$ (b) (4)
Fee %	(b) (4)	(b) (4)	(b) (4)
Fee	\$ (b) (4)	\$ (b) (4)	\$ (b) (4)
Total Price	\$ (b) (4)	\$ (b) (4)	\$ 3,647,930

Recommendation: Based on the information set forth herein, authorization is requested to award a contract for the procurement described above. The resultant contract will have Contract Line Item Numbers (CLINs) with CPFF and cost reimbursable contract types. The post-negotiation position is hereby determined fair and reasonable.

Prepared by:

(b) (6)

Approved By:

(b) (6)

(b) (6) , 254220D Date
Contract Specialist

(b) (6)

(b) (6) , 254110D Date
Procuring Contracting Officer

Contract Specialist
(b) (6) , 254110D Date

Section XII Pre Award Compliances (If competitive, document specific information for each offeror):

Check if N/A	DOCUMENT/APPROVAL CHECKLIST	DATE
	Review of Online Representations & Certifications Application (FAR 4.1201(c))	26 June 2017
	Determination of Responsibility (FAR 9.103) and financial stability (FAR 9.104-1(a)).	26 June 2017
X	HCA Waiver of Cost or Pricing Data (FAR 15.403-1)	
	Certificate of Current Cost or Pricing Data (FAR 15.406-2)	23 June 2017
X	Approved Make or Buy Plan (FAR 15.407-2)	
X	Contractor's Estimating System determined acceptable by ACO (DFARS 215.407-5)	
X	Pre-Award Disclosure Statement - Cost Accounting Practices and Certification (FAR 15.408)	
	Contractor's Accounting System determined adequate by CAO/DCAA (FAR 16.301-3)	7 December 2016
X	Determination to make single award for IDIQ Advisory and Assistance Services over 3 years and \$11.5M (FAR 16.504(c)(2)(A) or (B))	
X	Subcontracting Plan determined adequate (FAR 19.705-4)	
X	Approval of SDB subcontracting goal less than 5% (DFARS 219.705-4)	
X	EEO compliance requested/obtained (FAR 22.805).	
X	Disclosure Statement determined current, accurate and complete by ACO (FAR 42.302(a)(11)).	
X	Contractor EVMS verified compliant with DoD criteria by DCMA (DFARS 242.302(S-71)).	
X	Contractor Purchasing System determined to be approved by the ACO (FAR 44.304)	
X	Property System reviewed for acceptability by ACO (FAR 45.105).	
X	Compliance with DoD Instruction 7640.02	

Section XIII Post-negotiation References

- A. (b)(5)
- B. Contractor Proposal, dated 16 April 2017
- C. Updated Contractor Cost Proposal, dated 22 June 2017
- D. Government's counter offer, dated 23 June 2017
- E. Email from (b) (6) RTL, accepting the Government's position, dated 23 June 2017

Section XIV Post-negotiation Attachments

1. Spreadsheets
2. Record of Weighted Guidelines Application, DD Form 1547(see Section XVII)
3. Certificate of Current Cost or Pricing Data dated: 23 June 2017

Section XV Post-negotiation Summary

- A. The Reference A Pre-negotiation BCM was approved (b)(5)
- B. Negotiation Activities

Negotiations commenced via email between NAWCWD and RTL personnel on 15 June 2017. Negotiations were held via email exchanges with RTL personnel. Some clarifications and status updates were made via telecommunications with RTL personnel. These communications included negotiating the individual cost elements, fee, and total CPFF.

Per Reference B, RTL proposed a total CPFF amount of (b)(4) for this effort. On 6 June 2017, RTL updated its cost proposal in the amount of (b)(4). The Contract Specialist evaluated this updated cost proposal to derive the pre-negotiation position outlined in the Reference A Pre-negotiation BCM. On 15 June 2017, NAWCWD provided RTL with its pre-negotiation CPFF position of (b)(4). NAWCWD's initial position (b)(5) (proposed as part of travel cost); as noted in the pre-negotiation BCM, (b)(5) (b)(5) the Statement of Work. On 19 June 2017, RTL agreed to all of NAWCWD's cost element figures (b)(5) travel and fee. Per Reference C, RTL submitted an updated cost proposal in the amount of (b)(4), updating various indirect rates. On 23 June 2017, the parties agreed that negotiations would proceed with (b)(5) Per Reference D, NAWCWD stipulated that if it is later determined that the proposed (b)(5) accordingly; as such, the Government's updated CPFF position was (b)(5) Per Reference E, RTL agreed to the Government's updated position.

Negotiation participants are listed in the table below:

Government	Contractor
(b)(6) Contract Specialist	(b)(6), RTL
(b)(6), Contract Specialist	

Section XV Post-negotiation Cost Element Summary

Post-Negotiation Position				
Cost Element	CY 2017	CY 2018	CY 2019	Total
Labor		(b) (4)	(b)	
Materials				
Travel				
Fringe				
OH				
G&A				
Subtotal Cost				
Subcontractor				
OH on Subcontractor				
Total Cost				
Total w/our Materials or Travel				
Fee % (No fee on Materials and Travel)				
Fee				
CPFF Total	\$ (b) (4)	\$ (b) (4)	\$ (b) (4)	\$ 3,647,930

The post-negotiation position is (b) (4) higher than the pre-negotiation objective. The table above lists the various changes that impacted the negotiated price. The negotiated price was impacted by the (b) (5) that was originally excluded from the calculations used to derive the pre-negotiation objective. (b) (5) post-negotiation position also reflects the application of the updated management/cost control and technical risk factors, which adjusted the pre-negotiation objective for fee. This adjustment is discussed in greater detail in the Section XVII Post-negotiation Fee Analysis.

A. Rates

The pre-negotiation objective position utilized RTL's projected rates for the three contract years. With the exception of the overhead rates, the post-negotiation position was derived by utilizing the same rates utilized in the pre-negotiation BCM. The (b) (5)

RTL Proposed & Government Accepted		
Base Year	Labor Category	Rate
1	Program Manager	(b) (4)
2	Administrative Assistance	
3	Cyber Engineer HW/SW/Net (Senior)	
4	Software Developer (Journeyman)	
5	Information Security Analyst	
Option Year 1	Labor Category	Rate
1	Program Manager	(b) (4)
2	Administrative Assistance	
3	Cyber Engineer HW/SW/Net (Senior)	
4	Software Developer (Journeyman)	
5	Information Security Analyst	
6	Cyber Engineer HW/SW/Net (Junior)	
Option Year 2	Labor Category	Rate
1	Program Manager	(b) (4)
2	Administrative Assistance	
3	Cyber Engineer HW/SW/Net (Senior)	
4	Software Developer (Journeyman)	
5	Information Security Analyst	
6	Cyber Engineer HW/SW/Net (Junior)	

Post-Negotiation Position		
Base Year	CY17 Rates	CY18 Rates
Fringe	(b) (4)	
OH		
G&A		
OH (b) (4)		
Option Year 1	CY18 Rates	CY19 Rates
Fringe	(b) (4)	
OH		
G&A		
Option Year 2	CY19 Rates	
Fringe	(b) (4)	
OH		
G&A		

B. Labor Cost

The pre-negotiation objective was (b) (4) ; the post-negotiation position is (b) (4)

a. Labor Hours

RTL proposed (b) (4) labor hours. (b) (4) proposed an additional (b) (4) labor hours, for a total of (b) (4) labor hours. Since (b) (4) (b) (4) labor hours will be included in the total LOE hours for the contract. As noted in the pre-negotiation BCM, the TPOC evaluated RTL's

proposed labor categories and labor hours and determined them to be necessary and appropriate for the scope of this effort.

C. Other Direct Cost (ODC) – Materials

The pre-negotiation objective was (b) (4) ; the post-negotiation position is (b) (4)

D. Other Direct Cost (ODC) – Travel

The pre-negotiation objective was (b) (4) the post-negotiation position is (b) (4) . Due to an Excel error, the pre-negotiation position mistakenly only took the travel cost for the base year into account. After correcting this miscalculation, the Government's updated position became (b) (4) This position (b) (4) cost, and adjusted the number of RTL(b) (4) employees per rental car. When it was agreed that (b) (4) , the number of RTL (b) (4) employees per rental car was readjusted to reflect the originally proposed number of rental cars, out of concern of creating scheduling conflicts and mobility issues.

E. Facilities Capital Cost of Money (FCCOM)

RTL (b) (4)

Section XVI (b) (4) **Post-negotiation Cost Element Summary**

Post-Negotiation Position

(b) (4)

The post-negotiation position is unchanged from the pre-negotiation objective.

A. Rates

The pre-negotiation objective position utilized (b) (4) projected rates for the three contract years. The post-negotiation position was derived by utilizing these same rates.

Post-Negotiation Position

(b) (4)

Post-Negotiation Position

(b) (4)

B. Labor Cost

The pre-negotiation objective was (b) (4) the post-negotiation position is (b) (4)

a. Labor Hours

(b) (4) proposed (b) (4) labor hours. Since (b) (4) (b) (4) labor hours will be included in the total LOE hours for the contract. As noted in the pre-negotiation BCM, the TPOC evaluated (b) (4) proposed labor category and labor hours and determined them to be necessary and appropriate for the scope of this effort.

C. Other Direct Cost (ODC) – Materials

(b) (4)

D. Other Direct Cost (ODC) – Travel

(b) (4)

E. Facilities Capital Cost of Money (FCCOM)

(b) (4)

Section XVII Post-negotiation Fee Analysis (b) (4)
(b) (4)

A. Fee

(b) (4) proposed a fee rate of (b) (4) applied against total cost in the amount of (b) (4) resulting in a proposed total fee of (b) (4). NAWCWD countered with a fee rate of (b) (4) applied against total cost in the amount of (b) (4), resulting in a proposed total fee of (b) (4). RTL accepted the total fee amount of (b) (4).

Section XVIII Post-negotiation Fee Analysis (RTL)

	RTL'S Proposed Fee	Pre-negotiation Objective	Post-negotiation
Fee-bearing cost		(b) (4)	
Fee Rate			
Fee			

A. Fee

RTL proposed a fee rate of (b) (4). The Government's pre-negotiation fee rate objective was (b) (4). The RTL (b) (4) Government's position of (b) (4) with a fee rate of (b) (4). The WGL was adjusted to update the values for the management/cost control risk factor and the technical risk factor. A value (b) (4) assigned for management/cost control risk factors because, per DFARS 215.404-71-2(e)(2)(i)(B), the effort requires a high degree of integration and coordination. A value of (b) (4) assigned for technical risk factors because, per DFARS 215.404-71-2(d)(2)(i)(C), this effort is extremely important to the Government and must be performed to exacting standards.

The adjusted WGL supports a fee rate (b) (4). The Government (b) (4) fee rate with a fee rate (b) (4). RTL (b) (4) fee rate. The total agreed upon fee is (b) (4). The table below shows the hourly fee rate breakdown by contract year.

	Fee	Total LOE Hours	Fee per LOE Hour
Base		(b) (4)	(b) (4)
Option Yr 1			
Option Yr 2			
Total			

Section XIX Post-negotiation Price Analysis

The proposal price is comprised primarily of burdened labor costs (b) (4). As such, the CS analyzed the burdened labor rates for price analysis purposes. The CS performed market research to compare burdened labor rates for same or similar work. The table below provides a burdened labor rate comparison between RTL's proposed labor categories/rates and those from the 8(a) STARS II Pricing Tool for similar labor categories/rates, similar scope and complexity, and similar time periods. The majority of the proposed hours are centered in the labor categories shown below. Burdened rates include the following: direct labor, overhead, fringe, G&A, and fee. As shown in the table below, RTL's burdened labor rates are comparable to the rates used in similar efforts.

Burdened Labor Rate Comparison									
Contractor	RTL			(b) (4)			(b) (4)		
Contract	N68936-17-D-0020			STARS GWAC 8(a) (STARS II Pricing Tool)			STARS GWAC 8(a) (STARS II Pricing Tool)		
Period of Performance	CY17	CY18	CY19	CY17	CY18	CY19	CY17	CY18	CY19
Burdened Labor Rate Comparison									
Program Manager	(b) (4)								
Cyber Engineer HW/SW/Net (Senior)	(b) (4)								
Software Developer (Journeyman)	(b) (4)								
Information Security Analyst	(b) (4)								
Cyber Engineer HW/SW/Net (Junior)*	(b) (4)								

*

Based on the above analysis of labor, the Government's pre-negotiation price is fair and reasonable.

Section XX Post-negotiation Other Information

- A. Certificate of Current Cost or Pricing Data – Received on 23 June 2017.
- B. Data reliance
The CS relied on the contractor's current cost or pricing data certificate.
- C. Responsibility Determination
RTL is determined to be a responsible contractor within the meaning of FAR 9.104-1. The CS verified no negative contractor data was available in the Federal Awardee Performance and Integrity Information System (FAPIIS) and the System for Award Management (SAM) on 26 June 2017. The search was conducted by the applicable DUNS code 121316033 and no negative results were found.
- D. Compliance with the 10 USC 2533b and DFARS 225.70
No specialty metals or materials covered under the Berry Amendment have been identified as part of the contract requirements.

Legal review is not required per the NAVAIR CCI and WD Legal Review Matrix, as this post-negotiation BCM does not set forth source selection rationale.

Section XXI Post-negotiation Letter Contract or Undefined Contract Action

Not Applicable